

Market Questions **EU energy**

How 'bumpy' is US inflation?

Market Questions is the FT's guide to the week ahead



The core Personal Consumption Expenditures index in the US, which strips out volatile food and energy costs, is expected to have risen 0.3% month on month in October © Steve Koss/FT

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US inflation data on Wednesday will provide clues for investors on the likely timing and speed of interest rate cuts by the Federal Reserve next month.

Chair Jay Powell pushed the issue of rising prices back into the spotlight this month when he warned that progress on inflation had been [more “bumpy” than expected](#).

Wednesday sees the latest reading for the Personal Consumption Expenditures index, the Fed's preferred inflation gauge. It is also a crucial piece of information ahead of the central bank's December meeting to set [interest rates](#).

The core index, which strips out volatile food and energy costs, rose 0.3 per cent month on month in October, according to economists polled by Reuters. The headline rate is expected to have risen 0.2 per cent. In [his speech](#), Powell said core PCE prices looked likely to have risen 2.8 per cent year on year in October.

Investors have sharply scaled back rate cut bets in the past month on a combination of already sticky inflation figures, Powell's comments and expectations that the incoming Trump administration's policies, such as plans to raise tariffs, will add to [inflation](#) and reduce the Fed's room to cut interest rates next year.

Deutsche Bank's US economists this week forecast PCE would stall "at or above" 2.5 per cent next year, up from previous expectations it would ease to 2 per cent. "The primary driver of this upward revision is a significant increase in tariffs," said Matthew Luzzetti, the bank's chief US economist.

Futures market bets that rates in June would be at least a full percentage point below current levels have fallen from a 50 per cent chance four weeks ago, to just a 10 per cent probability. Investors are still pricing in a 60 per cent change for a quarter-point cut in December. *Jennifer Hughes*

How fast will Eurozone inflation rise?

Investors will be watching inflation data for the Eurozone on Friday for indications about the likely size of interest rate cuts from the European Central Bank.

Headline consumer prices are expected to have grown by 2.4 per cent in October, according to a consensus of economists polled by Reuters. That represents a sharp rise from September's rate of 1.8 per cent, which was the first time [inflation](#) had dipped below the ECB's target in three years. Core inflation is expected to increase marginally to 2.8 per cent year on year.

But traders will be looking towards the published number for guidance on the ECB's likely next move on [interest rates](#) next month. While the market expects the central bank to cut the deposit rate from 3.25 per cent, investors have become increasingly concerned over an economic slowdown in the bloc.

On Friday data showed Eurozone business activity [fell sharply in November](#), raising investors' expectations of a bumper half-point interest rate cut by the ECB. The probability of a 0.5 percentage point reduction doubled to 60 per cent, according to levels implied in swaps markets.

UBS said it expected the ECB would likely look past the inflation number, even if it was higher than expected. "The big story is weak economic activity [in the Eurozone]," said Dean Turner, economist at the bank.

"On a monthly level, inflation momentum has still likely continued moderating, which should further pave the way for ECB cuts in December and beyond," said analysts at Danske Bank. *Mari Novik*

Will European gas prices keep rising?

Gas prices in Europe have been squeezed higher in November as fresh jitters over the supply of Russian gas coincided with the first cold snap of winter on the continent.

Futures prices tracking the Title Transfer Facility, the European benchmark, have risen 11.4 per cent this month in Amsterdam and closed on Friday near their highest level in a year.

The focus is on whether the trend will continue. As the colder temperatures arrive, gas is being drawn down from storage to meet rising demand. Storage levels are comfortably lower than at the same point a year ago and in 2022, when the mild winter meant heating demand did not rise as much.

However, traders are also watching the flow of Russian gas into Europe. Russia's Gazprom has been in [dispute](#) with Austrian energy group OMV over a contract to supply gas through its pipeline. The Russian group continues to send the same volume of gas even after losing an arbitration ruling to OMV, but whether that will continue remains to be seen.

Kpler, the commodity data firm, told clients on Thursday that it “anticipates continued upward pressure on TTF prices due to ongoing uncertainty around Russian gas deliveries and the market’s focus on OMV’s next moves”.

The firm said forecasts of stronger winds in north-west Europe could also boost output from wind turbines, reducing the reliance on gas for [energy](#).

But one ray of light for European consumers is that more liquefied natural gas is coming to Europe, as higher prices in the region incentivise traders to divert more cargoes away from Asia.

Kpler said that since OMV’s dispute with Gazprom, there have been nine LNG diversions from Asia to Europe.

“Potential LNG diversions to Europe, given TTF’s premium over [Asian LNG prices], may provide additional supply support,” it added. *Shotaro Tani*

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